government provided no finance, its support was crucial to the formation and functioning of HDFC within such a short period.

Parekh had also met Manmohan Singh, then Secretary, Department of Economic Affairs in the Ministry of Finance who recalled Parekh's enthusiasm for the project. Singh observed, 'It (HDFC) was an unknown adventure. No one knew if it would click. But he had obtained promises from abroad (for funds) and he was enthusiastic.'[2] Singh and Parekh became friends, and later when Singh became the RBI Governor, he consulted him. 'Whenever I had any doubts, I went to him. He was always so positive, always coming up with new ideas. He never stagnated.'

Parekh discussed his proposal with officials of the International Finance Corporation (IFC), Washington, who supported him enthusiastically. IFC agreed to match ICICI's participation in the equity capital of the new company. The Board of Directors of ICICI had agreed to back the project by taking up ₹50 lakhs of equity, i.e. 5 percent of the proposed capital. The IFC agreed to take up an equal amount and also agreed to grant a loan. The Aga Khan also agreed to take up 5 percent of the capital, and thereby hangs a tale. Nasser Munjee, who became HDFC's first employee (not counting Pradip Shah who was seconded from ICICI) in February 1978, recounts how the Aga Khan came to be associated with HDFC.

Nasser Munjee's father, Mukhtar, and Parekh had met on a ship to England during Parekh's LSE days but their paths had never crossed after that. The LSE educated Nasser had just returned from the University of Chicago when he and his father saw an article on HDFC in the press. His father, who was involved in social housing in Bombay, suggested that they meet Parekh to know more about this new initiative. This was the beginning of a long relationship. Nasser, who joined HDFC to assist in setting it up, says that he intended to spend only six months to a year there.[3] Nasser and his father met Parekh and learnt more about the fledgling project from him. They came away suitably impressed. In fact, it was at that first meeting that Parekh asked Nasser to join him. Nasser who till then had been living in an academic world, relished the opportunity to enter the 'real' world and became HDFC's first employee.[4]

Nasser and his father were impressed enough to tell the Aga Khan about HDFC and sent him papers about the new venture, asking if he would be interested in any way. At the time the IFC was doing its own due diligence